

INSURANCE AND PENSIONS COMMISSION



FIRST QUARTER REPORT

FOR

LIFE ASSURERS

FOR THE QUARTER ENDED 31 MARCH 2013

List of Acronyms and Abbreviations

GPW	Gross Premium Written
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/ Commission	Insurance and Pension Commission
Y-Growth	Year on year growth
Q-Growth	Quarterly growth
'13	The Year 2013
'12	The Year 2012
NOTE:	ALL MONETARY FIGURES ARE IN USD



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2.0 Industry Overview

This report is based on 9 Life assurance companies and 2 reinsurance companies. The life industry wrote \$47million in net premium terms, an 8% growth from the comparable quarter. Total costs remained stagnant at \$34million, indicating industry cost rationalization. Resultantly, the industry realized \$13million in technical profit arising from expense and combined ratios of 23% and 73% respectively (March 2012: 27% and 79%).

Total assets grew by 28% to \$1,3billion (March 2012: \$1billion).

The life assurance industry was largely compliant with the new capital requirements ahead of the June 30 2014 interim deadline.

Table 1, below summarizes the major aspects of this report.

Table 1 : Financial Performance Indicators for Life Companies for the quarter ended 31 March 2013

Item	Life Assurers			Life Re assurers			TOTALS		
	Mar 2012	Mar 2013	Var	March 2012	Mar 2013	Var	Mar 2012	Mar 2013	Var
Gross Premiums Written (\$000)	42,992	45,702	6	1,131	1,879	66%	44,123	47,581	8
Net Premiums Written (\$000)	42,026	44,807	7%	1,012	1,723	70%	43,038	46,530	8
Retention Ratio	98%	98%	-	89	92	3	98	98	-
Total Gross Claims (\$000)	21,913	23,488	7	467	235	50	22,380	23,723	6
Total Net Claims (\$000)	21,913	23,046	5	467	235	50	22,380	23,281	4
Management Expenses (\$000)	9,709	8,403	(13%)	257	328	28	9,966	8,731	(12)
Commissions (\$000)	1,338	1,633	22%	183	381	108	1,521	2,014	32
Total Costs(\$000)	32,960	33,082	-	907	944	4	33,867	34,026	-
Technical Profit	9,066	11,725	29	211	778	269	9,277	12,503	35
Expense Ratio (%)	26	22	(4)	43	41	(2)	27	23	(4)
Combined Ratio	78	74	(4)	90	55		79	73	(6)
Total Assets (\$000)	1,003,310	1,273,270	27	-	7,430	-	1,003,310	1,280,700	28
Total Liabilities (\$000)	-	1,109,245	-	-	5,139	-	-	1,114,384	-
Free Capital(\$000)	-	164,025	-	-	2289	-	-	166,314	-
Capital to liability Ratio	-	15%	-	-	45	-	-	15%	-
Prescribed Asset Ratio (%)	-	-	-	-	-	-	-	-	-



Section A

Life Assurance Companies



3.0 Update on Number of Operational Institutions

This report is centered on 9 life insurers.

4.0 Net Premiums Written

For the current reporting period, life companies wrote \$45million in Net Written Premiums (March 2012:\$42million).This reflected a 7% year on year growth (See Table 2,below). It should be noted that negative growth in net premiums by FML and Evolution was due to loss of business and the previous inclusion of medical aid fund premiums, which fall outside our jurisdiction, and this has been corrected in this report.

Table 2: Net Written Premium Distribution by Company as at 31 March 2013

Name of Company	NPW (USD 000)		Yearly Growth
	March 2012	March 2013	
Altfin	1,075	886	(18%)
Cbz	969	1,807	86%
Evolution	224	102	(54%)
Fidelity	1,741	2,254	29%
FML	14,358	6,624	(54%)
Heritage	254	324	28%
Old Mutual	19,573	27,937	43%
Zb Life	1,426	1,586	11%
Zimnat	2,406	3,287	37%
TOTAL	42,026	44,807	7%

5.0 Business Composition

For the quarter ended 31March 2013,the life industries wrote \$46million in gross premiums with 93% or \$43million realized from recurring business and 7% was new business.

Employee benefit products contributed \$38 million or 83% of gross premiums whilst individual lines business made up the balance. Year on year growth rate was at 6% from \$43million reported for the comparative quarter last year .It must be noted, however, that the gross premium for last year could not be split further owing to the old template which was by then applicable (see Table 3 below).

Table 3: Business Composition by Company as at 31 March 2013

Co. Name	Individual Life (\$000)		Employee Benefits (\$000)		Total Gross Premiums Written (\$000)		
	New Business	Recurring Premiums	New Business	Recurring Premiums			
	Mar-13	Mar-13	Mar-13	Mar-13	Mar-12	Mar-13	Annual Growth (%)
Altfin	35	836	-	158	1,217	1,029	15
CBZ Life	46	404	344	1,051	1,161	1,845	59
Evolution	11	90	-	-	551	101	(82)
Fidelity	225	257	-	1,868	1,802	2,350	30
FML	94	2,839	49	3,715	14,373	6,697	(53)
Heritage	10	188	5	135	266	338	27
O. Mutual	139	1,578	1,166	25,247	19,633	28,130	43
Zb Life	262	390	15	1,064	1,487	1,731	16
Zimnat	33	398	77	2,973	2,501	3,481	44
TOTAL	855	6,980	1,656	36,211	42,992	45,702	6

5.2 Business Composition by Class

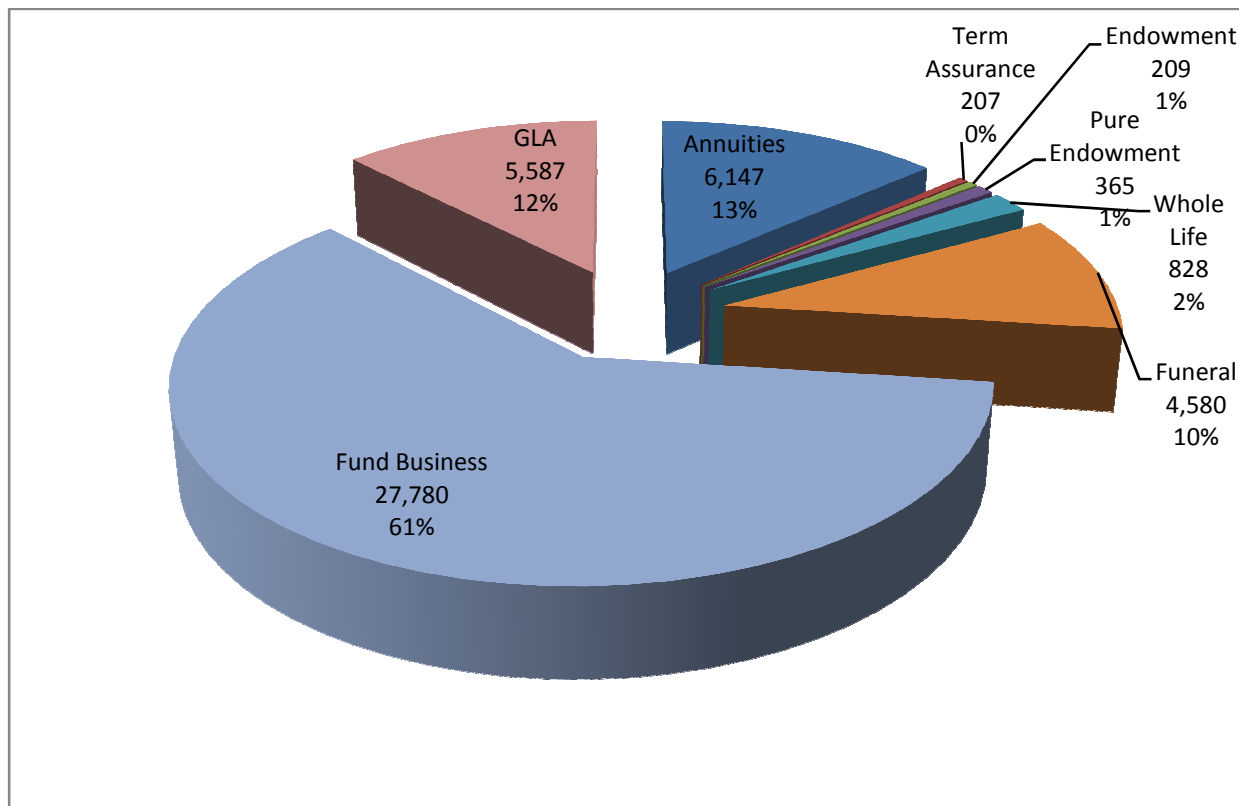
The statistics reported by the life industry showed that the major classes of business was fund business (\$28million or 61%),annuities(\$6million or 13%) and funeral(10% or \$6million) (See Table 4 and Figure 1 below).

Table 4: Written Business Classes by Company for the year ended 31 March 2013

Co. Name	Annuities	Term Assurance	Endowment	Pure Endowment	Whole Life	Funeral	Fund Business	OTHER/GLA	Total
	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13
Altfin	12	-	-	-	-	-	-	1,017	1,029
CBZ Life	748	-	0	0	0	1,097	0	0	1,845
Evolution	-	-	-	-	-	-	-	101	101
Fidelity	-	-	164	8	129	0	1,867	182	2,350
FML	414	0	43	273	54	2,141	3,772	0	6,697
Heritage	3	0	2	31	0	161	141	0	338
O. Mutual	4,564	0	0	0	626	695	17,858	4,388	28,130
Zb Life	2	207	0	53	0	0	1,469	0	1,731
Zimnat	404	0	0	0	19	385	2,673	0	3,481
Total	6,147	207	209	365	828	4,479	27,780	5,688	45,702



Figure 1: Written Business Classes by Company for the year ended 31 March 2013



5.2.1 Not-taken Up and Lapsed Policies

The industry reported that the total policies that were not taken up policies amounted to \$80 000. Lapse ratios were mainly below 50% (see Table 5, below).

Table5: Lapses and Not Taken Up Policies by Company as at 31 March 2013

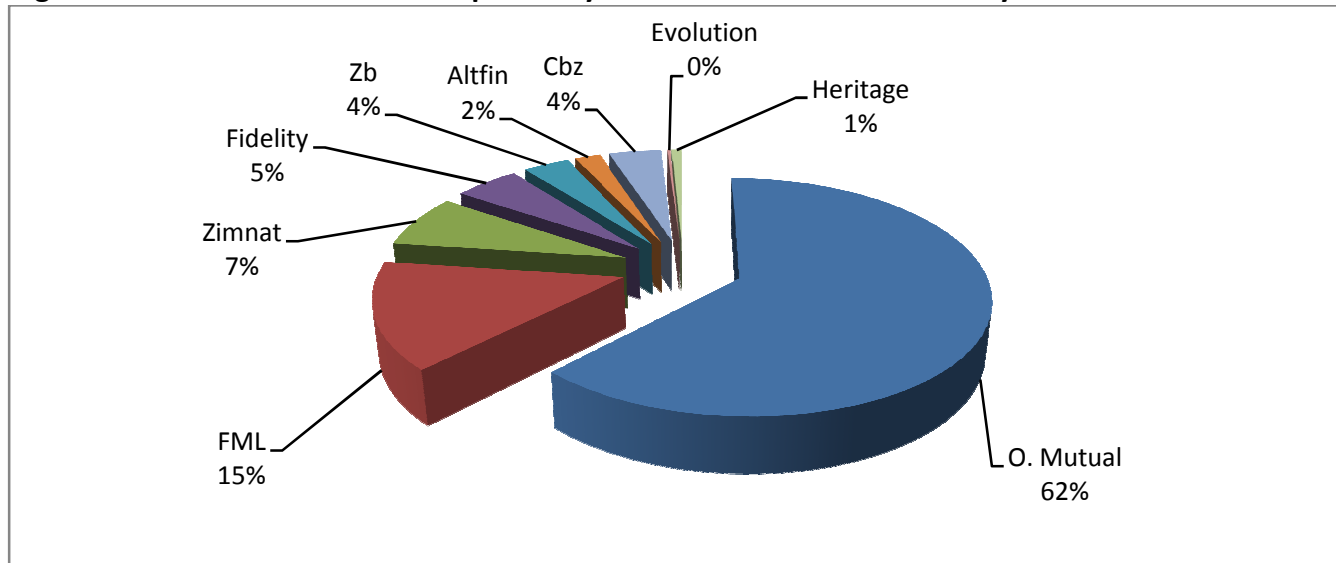
Co. Name	Not taken up policies (000)		Lapse Ratios (%)	
	Individual	Group Business	Individual	Group Business
	Mar-13	Mar-13	Mar-13	Mar-13
Altfin	0	5	0	0
CBZ Life	22	24	50.1	50.27
Evolution	0	0	3.62	0
Fidelity	0	0	0	0
FML	12	0	9.7	0
Heritage	0	0	80.8	0
O. Mutual	0	0	6.75	0
Zb Life	20	0	105.91	0
Zimnat	0	1	7.86	0
TOTAL	54	30	N/A	N/A

6.0 Market Share for Life Assurers

For the quarter ended 31 March 2013, the reported figures revealed a duopolistic market structure with the top two companies controlling 77% (March 2012:81%). Players are encouraged to improve on innovation in order to compete in non-traditional products which respond to current socio-economic trends obtaining in our country (See Table 1 and Figure 2 below).



Figure 2: Market share for life companies by Net Written Premium for the year ended 31 March 2013



7.0 Claims Analysis

For the quarter under review, life companies paid \$23million in net claims (March 2012: \$22million). The Industry's total claims bill grew by 5% vis-avis premium growth rate of 7% (See Table 6, below and Table 2, above).

The major types of claims were surrenders (\$10million or 42%), maturity (\$6million or 26%) and death (\$5million or 22%). A high surrender value is not a good indicator since in many cases it reflects unethical practices such as pressure selling, misrepresentation and switching. IPEC will work with the industry to get to the bottom of so many claims.

Table 6 : Claims Categories by Company for the year ended 31 March 2013(\$000)

Co. Name	Death	Maturity	Disability	Surrenders	Annuities	Reinsurance	Total Net Claims		
							Mar 12	March 13	Growth (%)
Altfin	69	0	0	146	0	23	84	192	129
CBZ Life	323	0	0	0	0	0	35	323	823
Evolution	8	0	0	0	0	0	19	8	(58)
Fidelity	270	18	0	73	15	0	207	376	82
FML	233	429	385	311	239	345	6,374	1,259	(80)
Heritage	30	0	0	11		13	37	28	(24)
O. Mutual	2,813	5,108	0	8,947	2,449	12	13,263	19,305	46
Zb Life	365	9	0	145	0	10	1,047	509	(51)
Zimnat	842	243	0	0	0	39	846	1,046	24
Total	4,953	5,807	385	9,633	2,703	442	21,913	23,046	5

7.0 Claims Aged Analysis

For the quarter ended 31 March 2013, players reported total outstanding bill amounting to \$0,730million. Current claims amounted to \$0,3million or 41% whilst 25% or \$0.2million was above 120days old. Players must expeditiously pay all legitimate claims in line with policy



conditions and shortest possible turnaround time in line with best practices (See table 7,below).

Table 7 : Claims Aged Analysis by Company for the Quarter ended 31 March 2013(\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	49	0	0	40	0	89
CBZ Life	11	11	6	28	106	162
Evolution	2	0	0	0	0	2
Fidelity	130	28	0	0	0	158
FML	0	0	34	0	0	34
Heritage	0	0	0	0	0	0
O. Mutual	99	0	0	0	0	99
Zb Life	8	51	21	30	76	186
Zimnat	0	0	0	0	0	0
Total	299	90	61	98	182	730

8.0 Debtors Aged Analysis

For the period under review, life companies reported outstanding premiums in the sum of \$7million or 16% of Net written premium. This gives a premium collection rate of 84% .This could be an indication of improving policyholder confidence which the industry should reward by way of excellent service standards and product innovation(See Table 8,below).

Table 8 : Debtors Aged Analysis by Company for the Quarter ended 31 March 2013(\$000)

Co. Name	>30days	31-60days	61-90days	91-120days	<121 days plus	Total
Altfin	134	159	112	571	393	1,369
CBZ Life	572	730	713	631	551	3,197
Evolution	28	-	-	-	-	28
Fidelity	377	296	230	570	212	1,685
FML	515	172	129	43	-	858
Heritage	148	16	20	145	-	329
O. Mutual	-	-	-	-	-	-
Zb Life	-	-	-	-	-	0
Zimnat	-	-	-	-	-	0
Total	1,774	1,373	1,204	1,960	1,156	7,466



9.0 Earnings

For the period under review, administration expenditure accounted for \$8million or 25% of total costs (March 2012:\$10million or 29%), claims,\$ 23million or 70% (March 2012:\$22million or 66%) whilst the commission bill was 5% or \$2million (March 2012:4% or \$1million).

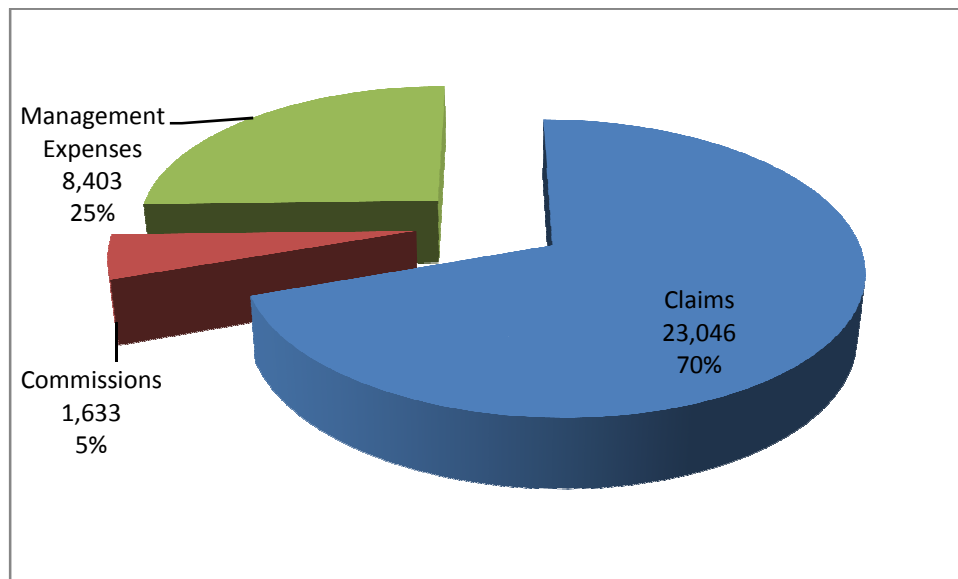
The industry reported a combined ratio of \$74% (March 2012:78%)(See Table 9, below and Figure 2,below). In the near-absence of meaningful investment income, players are encouraged to adopt prudent cost cutting measures in order to avoid unjust pressure on profit margins for sustainable industry viability (See Table 9, below and Figure 3,below).

Table 9: Key Income and Cost Indicators By Company for the Quarter ended 31 March 2013

Co. Name	NPW		Claims			Commissions			Management Expenses			Total Costs			Combined Ratio		
	Mar 12	Mar 13	Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13	%
Altfin	1,075	886	84	192	129	85	99	16	577	400	(31)	746	691	7	69	78%	(9)
CBZ Life	969	1,807	35	323	823	171	237	39	172	448	160	378	1,008	167	39	56%	17
Evolution	224	102	19	8	(58)	98	2	(98)	88	150	70	205	160	22	92	157%	65
Fidelity	1,741	2,254	207	376	82	55	43	22	904	1,079	19%	1,166	1,498	28	67	66%	(1)
FML	14,358	6,624	6,374	1,259	(80)	490	396	(19)	3,190	1,955	(39)	10,054	3,610	(64)	70	54%	(16)
Heritage	254	324	37	28	(24)	31	48	55	145	134	(8)	214	210	(2)	84	65%	(20)
O. Mutual	19,573	27,937	13,263	19,305	46	142	293	106	3,097	3,074	(1)	16,501	22,672	37	84	81%	(3)
Zb Life	1,426	1,586	1,047	509	(51)	157	393	150	825	381	(54)	2,029	1,283	(37)	142	81%	61
Zimnat	2,406	3,287	846	1,046	24	109	122	12	711	782	10	1,666	1,950	17	69	59%	(10)
Total	42,026	44,807	21,913	23,046	5	1,338	1,633	22	9,709	8,403	(13)	32,960	33,082	-	78	74%	(4)



Figure 3: Key Cost Indicators By Company for the Quarter ended 31 March 2013(\$000)



10. Asset Quality

For the quarter ended 31 March 2013, the industry reported that their investments were in properties-36% or \$458million (March 2012:38% or \$401million }, equities-\$550million or 43% (March 2012:41% or\$461million) money market-\$147million or 12%, cash assets,\$10million or 1% (March 2012:\$94million or 9%) and other assets-\$90million or 7%(March 2012:5% or \$47million).

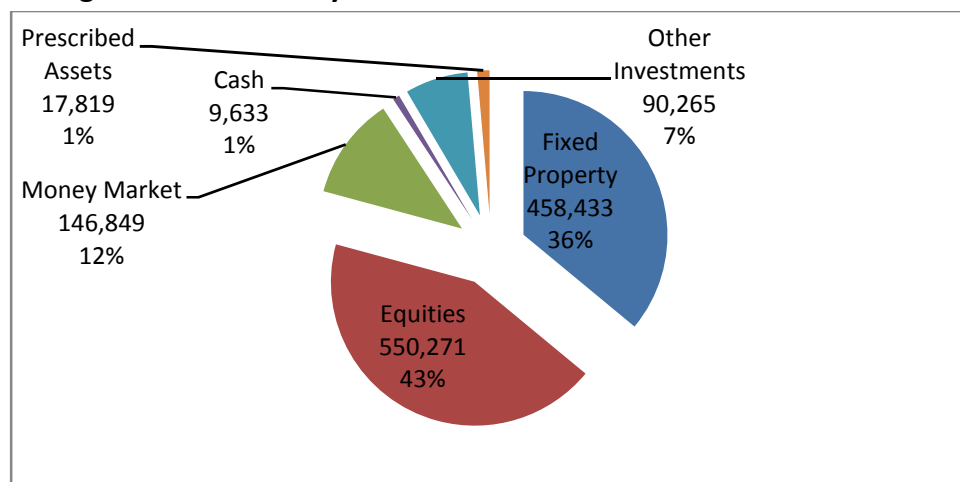
Over the reporting period, the prescribed asset ratio was at 1%.There has not been any paper which was accorded prescribed asset status although there are two applications which are still under internal consideration(See Table 10 and Figure 4,below).

Players must be guided by Circular No.1 of 2013 which gave upper limits on investment guidelines per each asset class.

Table 10: Life industry Asset bases for the fourth quarter ended 31 March 2013

Co. Name	Fixed Property (000)			Equities (000)			Money Market (000)			Cash (000)			Other Investments (000)			Prescribed Assets			Total Assets (000)		
	Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13		Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13	%	Mar 12	Mar 13	%
Altfin	685	1,758	157	2,226	-	-	-	(297)	-	388	711	83	1,170	297	(75)	-	-	-	6,817	2,469	(64)
CBZ Life	-	171	-	-	-	-	-	4,466	-	149	299	101	3,371	427	(87)	-	486	-	3,520	5,849	66
Evolution	2,820	25	(91)	0	-	-	-	248	-	240	5	(98)	1,749	2,238	28	-	-	-	4,810	2,516	(48)
Fidelity	10,951	18,416	68	4,165	6,515	56	-	4,337	-	5,492	435	(9)	3,629	6,321	74	-	-	-	24,237	36,024	49
FML	0	-	-	62,695	22,654	(64)	-	10,342	-	2,664	1,720	(35)	10,417	66,620	540	-	413	-	75,777	101,749	34
Heritage	512	512	-	38	23	(39)	-	1,530	-	50	87	74	1,700	373	(78)	-	-	-	2,300	2,525	10
O. Mutual	368,545	421,047	14	364,428	486,725	34	-	115,179	-	83,338	5,524	(93)	19,428	12,825	(34)	-	14,147	-	687,080	1,055,447	54
Zb Life	3,215	1,064	(67)	17,586	23,382	33	-	1,569	-	256	242	(5)	3,595	1,164	(68)	-	413	-	24,651	27,834	13
Zimnat	14,628	15,440	6	9,712	10,972	13	-	9,475	-	1,637	610	(63)	1,830	-	-	-	2,360	-	32,212	38,857	21
Total	401,355	458,433	14	460,852	550,271	19	-	146,849	-	94,215	9,633	(90)	46,889	90,265	93	-	17,819	-	1,003,310	1,273,270	27

Figure 4: Life industry Asset bases for the Third Quarter ended 31 March 2013



11. Capitalization, Solvency and Liquidity Indicators

Life companies were largely capitalized as prescribed by Statutory Instrument 189 of 2009(See table 6 below).However players must take note of the impending new capital levels as prescribed in Statutory Instrument 21 of 2013 which are partially due on 30 June 2013.

The industry reported combined capital to liability and liquid ratios of 6% and 258% respectively (See Table 11, below).Emerging best practices prescribe that players must align their capital in line with their liabilities and players are encouraged to invariably consider implementing such measures in the medium to long term.

Table 11: Capitalization, Solvency and Liquidity Indicators (000)

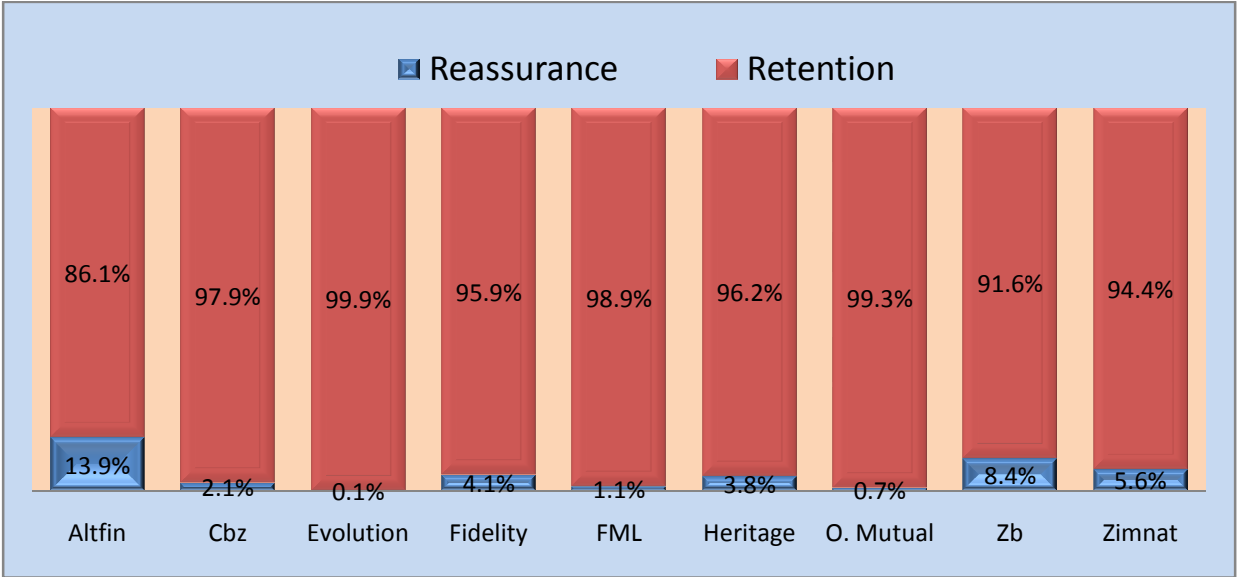
Co. Name	Current Assets	Current Liabilities	Total Assets	Total Liabilities	Capital (Net Assets)	Net Written Premium	Capital to liability Ratio (%)	Liquidity (Current) Ratio	Capital to NPW Ratio
	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13	Mar-13
Altfin	711	1,493	2,469	1,959	510	886	26%	48%	58%
CBZ Life	5,679	2,250	5,849	2,250	3,599	1,807	160%	252%	199%
Evolution	339	407	2,516	407	2,109	102	518%	83%	2068%
Fidelity	11,092	5,779	36,024	27,622	8,402	2,254	30%	192%	373%
FML	13,671	6,512	101,749	84,889	16,860	6,624	20%	210%	255%
Heritage	1,677	245	2,525	438	2,087	324	476%	684%	644%
O. Mutual	123,994	41,881	1,055,447	939,071	116,376	27,937	12%	296%	417%
Zb Life	2,418	1,953	27,834	23,132	4,702	1,586	20%	123	296
Zimnat	1,914	2,149	38,857	29,477	9,380	3,287	32%	89%	285
Total	161,495	62,669	1,273,270	1,109,245	164,025	44,807	6%	258%	366%

12. Reinsurance

A high retention ratio across the industry is a concern. In order to manage cash flows and protect shareholder capital, Industry players are encouraged to prudently reinsure on all risk business given the current trends of rising claims experience (see Figure 5 below and Table 2&3 above).



Figure 5: Retention Ratios



Section B

Reassurance Companies

1.0 Update on Number of Operational Institutions

This report is based on 2 operational life reassurers.

2.0 Business Written

Table 1 below, shows that reassurers wrote \$2million in gross premium written for the period under review reflecting a 66% year on year growth rate.

Table 1: Key Performance Indicators for the quarter ended 31 March 2013(000)

Indicator	31-March-12	31-March-13	Growth (%)
Gross Premium Written	1,131	1,879	66
Net Premium Written	1,012	1,723	70
Net Earned Premium	456	2	(100)
Net Claims Incurred	467	235	50
Net Commission Incurred	183	381	108
Management Expenses	257	328	28
Total Costs	907	944	4
Underwriting Profit	211	778	269

3.0 Earnings

Life reassurers registered a net combined ratio of 89% for the period under consideration culminating in a net operating profit of \$0,8million.

Given the current illiquid investment climate and rising cedants' claims bill, IPEC continues to encourage stringent cost management measures to ensure industry sustainability.

4.0 Capitalization and Solvency

For the quarter ended 31March 2013, reinsurers were already compliant with the new minimum capital requirements due by the coming quarter .However emerging best practices dictate that capital be aligned with players' respective liability portfolios and the industry is encouraged to gradually adopt such approaches(See Table 2,below) .



Table 2: Capitalization, Solvency and Liquidity Indicators for the quarter ended 31 March 2013(\$000)

Item	Baobab Re	FM Re	Total
Current Assets	3,527	1,825	5,352
Total Assets	5,075	2,355	7,430
Current Liabilities	424	581	1,005
Total Liabilities	3,976	1,163	5,139
Capital	1,099	1,190	2,289
Prescribed Assets	30	0	30
Prescribed asset Ratio	1%	0	0
Current Ratio	832%	314%	533%
Capital to liability ratio	28%	102%	45%
Net premium written	1,363	360	1,723
Capital to Net premium written ratio	81%	331%	133%

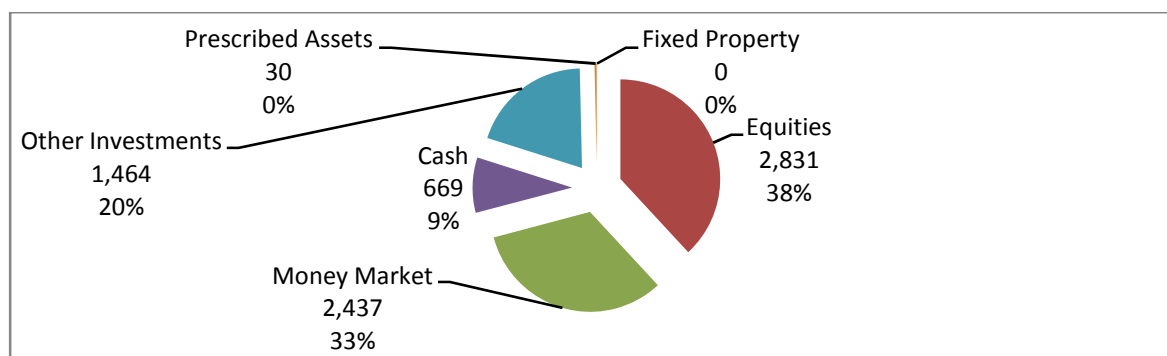
5.0 Asset Quality

For the quarter under review reassurers reported their asset portfolio which was skewed mainly towards equities (\$3million or 38%), money market (\$2million or 33%) and other investments (\$1million or 20%). However players are required to stand guided by actuarial input and Circular No. 1 of 2013 as a prudential measure.

Table 3: Total Assets for Reassurers for the quarter ended 31 March 2013

Asset Type	Baobab Re	FM Re	Total
Fixed Property (000)	0	0	0
Equities (000)	2,329	502	2,831
Money Market (000)	1,070	1,367	2,437
Cash (000)	536	133	669
Other Investments (000)	1,111	353	1,464
Prescribed Assets	30	-	30
Total Assets (000)	5,076	2,355	7,431

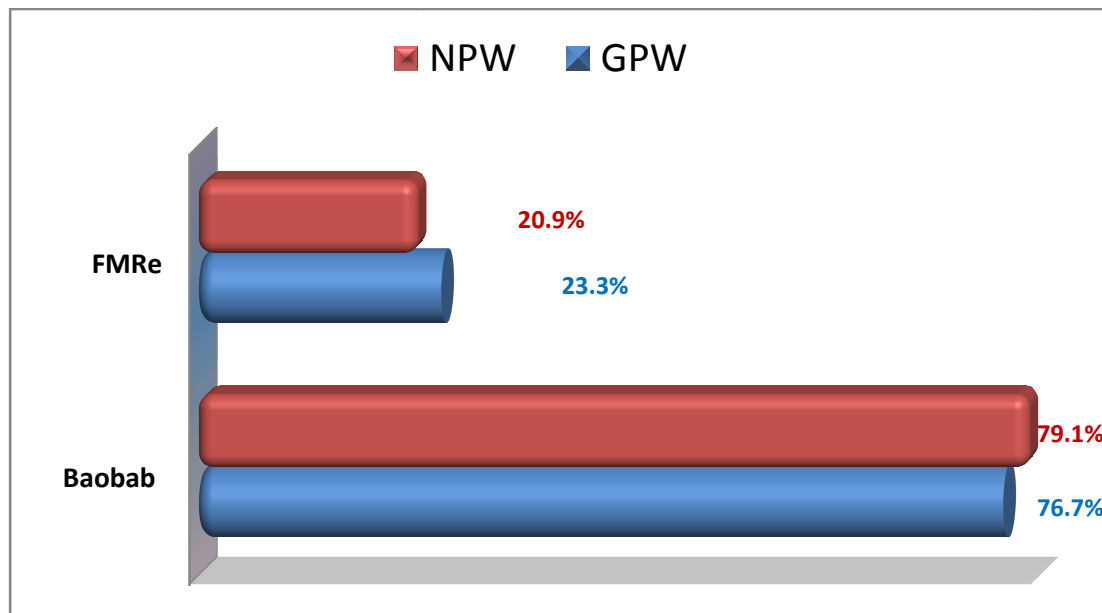
Figure 1: Total Assets for Reassurers for the quarter ended 31 March 2013



6.0 Market Share

Figure 2, below, illustrates that Baobab Life and Health controlled 80% of the business with its peer claiming the balance (See Figure 2,below).

Figure 2: Market share For Reassurers for the quarter ended 31 December 2012



7.0 Circulars and Statutory Instruments

For the quarter under review the Commission issued the following circulars and statutory instruments to guide the industry on various issues affecting the operations of the industry:-

Table6: Issued Circulars and Statutory Instruments for the quarter year ended 31 March 2013

Details	Subject Matter	Issue date
Circular No.1 of 2013	Investment guidelines	20 March 2013
Statutory Instrument 20 of 2013	Capital Requirements for fund administrators	22 February 2013
Statutory Instrument 21 of 2013	Capital Requirements for Insurance companies	22 February 2013

APPENDIX A

Assets	Altfin	Cbz	Evolution	Fidelity	FML	Heritage	O. Mutual	Zb	Zimnat	Total
Non-Current Assets										
Intangible Assets		4,371	0	0	581,834			257,560	258,542	1,102,307
Property and Equipment	257,957	166,416	24,732	4,734,141	1,349,554	149,786	543,865	806,688	478,715	8,511,854
Investment Property	1,500,000			13,682,034		511,650	421,047,461	3,433,005	15,440,009	455,614,159
Investments and Securities	0		2,153,146	6,515,460		22,716	7,307,000	19,949,418	20,682,615	56,630,355
Investment Assets					23,066,767		486,724,960	556,534		510,348,261
Other Non-Current Assets (Specify)					0	0				0
1					63,080,002	27,374	15,828,982	412,822		79,349,180
2						137,149				137,149
3										
Total	1,757,957	170,787	2,177,878	24,931,635	88,078,157	848,675	931,452,268	25,416,027	36,859,880	1,111,693,264
Current Assets										
Accounts Receivable	701,857	427,473	83,355	4,018,992	1,502,845	188,860	5,871,106	607,435	1,300,015	14,701,938
Short Term Investments	(296,614)	4,952,232	248,424	4,342,236	10,341,963	1,392,541	19,876,429	1,568,886	0	42,426,097
Cash and Bank Balances	287,475	298,835	4,987	434,810	1,720,492	87,280	105,523,699	242,053	609,789	109,209,420
Other Current Assets (Specify)										
1	762	0	1,818	2,296,133	99,503	7,877	113,352		4,062	2,523,507
2	17,711	0			6,028		6,296,381			6,320,120
3		0					(13,686,493)			(13,686,493)
Total	711,191	5,678,540	338,584	11,092,171	13,670,831	1,676,558	123,994,474	2,418,374	1,913,866	161,494,590
Total Assets	2,469,149	5,849,327	2,516,462	36,023,806	101,748,988	2,525,233	1,055,446,742	27,834,401	38,773,747	1,273,187,854